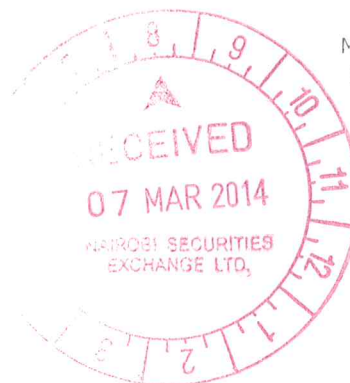


6 March, 2014

Mr. Peter Mwangi
The Chief Executive Officer
Nairobi Securities Exchange Limited
The Exchange House
Westlands Road
NAIROBI

British-American Investments Company (Kenya) Limited

Head Office, Britam Centre,
Mara/Ragati Road Junction, Upperhill,
P.O Box 30375-00100 Nairobi, Kenya
Tel: (020) 2833000/0703 094000
Fax: (020) 2717625
Email: britam@britam.co.ke
www.britam.co.ke



Dear Sir,

BRITISH-AMERICAN INVESTMENTS COMPANY (K) LIMITED
GROUP FINANCIAL RESULTS FOR THE YEAR ENDED 31 DECEMBER 2013

We are pleased to enclose the following:

1. The audited Financial Statements of Britam for the year ended 31 December, 2013 together with disclosures on the earnings per share.
2. The statement on cash flows and changes in equity for the same period.

The Board of Directors has, in its meeting held on 6 March 2014, approved and recommended to the Annual General Meeting, a First and Final dividend for the year ended 31 December 2013 of Shs 0.25 per ordinary share of Shs 0.10 each, subject to withholding tax where applicable. The indicative dates are:

- Book Closure - 2nd May, 2014
- AGM - 30th May, 2014
- Dividend payment date - On or about 30th May, 2014

Yours faithfully,

British-American Investments Co. (K) Ltd

Nancy Kiruki
Company Secretary

Encl.

Pensions
Insurance
Asset Management
Property

The Board of Directors is pleased to announce the audited results of the British-American Investments Company (Kenya) Limited (Britam) for the year ended 31 December 2013.

PERFORMANCE OVERVIEW

The Group achieved a profit before tax of Shs 3.2 billion compared to a profit of Shs 2.8 billion in 2012, a growth of 12.2%. Comprehensive income amounted to Shs 4.2 billion.

The Group's core business streams generated total revenue of Shs 9.5 billion up from Shs 7.2 billion in 2012, a growth of 30.9%. Revenue for the insurance business in Kenya amounted to Shs 8.6 billion compared to Shs 6.8 billion, a growth of 26.5%; the asset management generated Shs 613.5 million compared to Shs 377.2 million recorded in 2012, a growth of 62.6%; while the regional offices contributed Shs 294.0 million up from 88.5 million, a growth of 232.2%.

Investment income of Shs 6.3 billion was registered, up from Shs 5.0 billion in 2012, a growth of 25.7%

As at 31 December 2013, total assets were Shs 46.9 billion, a growth by 32.9% from Shs 35.8 billion in 2012. Assets under management by the asset management arm of the Group increased by 29.2% to Shs 36.3 billion from Shs 28.1 billion in 2012.

The Group continued to implement its growth and diversification strategy of increased local and regional presence, new innovative product offering, technological transformation and capacity enhancement. Specifically and among others, the Group:

- Successfully opened operations in Rwanda increasing our regional presence to four (4) countries;
- Entered into a Share Purchase Agreement to acquire Real Insurance which will increase our regional presence to seven (7) countries;
- Opened ten (10) new branches locally aligned to the devolved government
- Acquired 25% stake in Acorn Group, a renowned property development and project management firm, in order to efficiently implement our property business strategy;
- Launched a number of new products; this included a micro insurance product "Linda Jamii" that caters for the health needs of the lower income segment; private equity funds; and property funds.

As would be expected, these initiatives entail additional spend, explaining the growth in operating expenses.

ACCOUNTING POLICIES AND METHODS

We adopted IFRS 9 from 1 January 2013, and no material changes have arisen because of adopting the standard.

DIVIDEND

The Board of Directors recommends a final dividend of Shs 473 Million (Shs 0.25per share) to be approved at the Annual General Meeting in May 2014.

Consolidated income statement

	2013	2012
	Shs'000	Shs'000
Revenue		
Gross earned premium	8,847,166	6,849,692
Less: reinsurance premium ceded	(1,095,967)	(893,001)
Net earned premium	7,751,199	5,956,691
Fund management fees	613,511	377,208
Investment income	2,759,463	1,971,016
Net realised gains on financial assets	232,727	45,554
Net fair value gains on financial assets at fair value through profit or loss	3,355,541	3,032,092
Commissions earned	370,521	307,639
Other income	47,096	53,184
Total Revenue	15,130,058	11,743,384
Expenses		
Insurance claims and loss adjustment expenses	3,270,310	4,282,914
Less: amount recoverable from reinsurers	(293,259)	(1,803,019)
Change in actuarial value of policyholder benefits	1,849,669	1,189,436
Net insurance benefits and claims	4,826,720	3,669,331
Interest payments/increase in unit value	2,204,587	1,608,828
Operating and other expenses	3,210,990	2,286,578
Commissions payable	1,873,286	1,476,086
Total Expenses	12,115,583	9,040,823
Profit before share of the associate	3,014,476	2,702,561
Share of profit of the associate	181,685	146,845
Profit before tax	3,196,161	2,849,406
Income tax expense	(542,372)	(329,945)
Profit for the year (of which profit of Shs 1,158,362,000 (2012: Shs 1,482,834,000) has been dealt with in the accounts of the company)	2,653,789	2,519,461

Consolidated statement of comprehensive income

	2013 Shs'000	2012 Shs'000
Profit for the year	2,653,789	2,519,461
Other comprehensive income items net of tax:		
Items that will not be reclassified to profit or loss		
Gains on revaluation of land and buildings	26,699	147,967
Re-measurement of the net defined benefit asset	14,266	-
Currency translation losses	(2,954)	(10,689)
Total items that will not be reclassified to profit or loss	38,011	137,278
Items that may be subsequently reclassified to profit or loss		
Gains on revaluation of financial assets at fair value through other comprehensive income	1,512,800	1,527,995
Total items that may be subsequently reclassified to profit or loss	1,512,800	1,527,995
Total other comprehensive income	1,550,811	1,665,273
Total comprehensive income for the year	4,204,600	4,184,734

Consolidated statement of financial position

	2013 Shs'000	2012 Shs'000
CAPITAL EMPLOYED		
Share capital	189,145	189,145
Share premium	3,164,455	3,164,455
Other reserves	9,572,740	5,745,519
Retained earnings	3,535,594	2,900,342
Proposed dividends	472,863	472,863
Shareholders' funds	16,934,797	12,472,324
REPRESENTED BY:		
Assets		
Property and equipment	1,163,280	948,236
Intangible assets	134,629	113,817
Investment in associate	1,867,081	1,459,826
Investment property	3,782,181	1,706,057
Quoted ordinary shares at fair value through other comprehensive income	6,109,614	4,937,397
Financial assets at fair value through profit or loss:		
- quoted ordinary shares	7,632,998	6,084,289
- unquoted ordinary shares	3,770	54,009
- unit trusts	8,066,022	6,064,687
- corporate bonds	-	28,253
- government securities	565,093	176,562
Corporate bonds at amortised cost	591,920	508,358
Government securities at amortised cost	8,166,134	6,685,780
Mortgage loans and receivables	793,815	812,022
Loans and receivables to policy holders	376,778	309,455
Receivables arising out of reinsurance arrangements	81,228	48,912
Receivables arising out of direct insurance arrangements	1,053,931	540,599
Reinsurers' share of insurance liabilities	2,410,417	2,396,262
Deferred acquisition costs	180,389	131,274
Deferred income tax	5,255	4,198
Tax recoverable	83,042	32,240
Receivables from related parties	-	5,075
Other receivables	626,201	381,130
Retirement benefit asset	186	-
Deposits with financial institutions	2,591,418	1,975,913
Cash and bank balances	617,196	415,814
Total assets	46,902,578	35,820,165
Liabilities		
Insurance contract liabilities	12,137,169	10,467,211
Payable under deposit administration contracts	8,109,075	5,787,072
Liabilities under investment contracts	6,414,370	4,845,527
Unearned premium	1,889,452	1,292,195
Creditors arising from reinsurance arrangements	107,709	183,861
Retirement benefit liability	-	14,080
Other payables	958,913	636,282
Bank overdraft	116,691	46,810
Current income tax payable	234,402	74,803
Total liabilities	29,967,781	23,347,841
Net assets	16,934,797	12,472,324

Consolidated statement of changes in equity

Year ended 31 December 2012	Share capital Shs'000	Share premium Shs'000	Other reserves	Retained earnings Shs'000	Proposed dividends Shs'000	Total equity Shs'000
At start of year	189,145	3,164,455	3,531,204	1,388,926	283,718	8,557,448
Comprehensive income						
Profit for the year	-	-	-	2,519,461	-	2,519,461
Other comprehensive income:						
Gains on revaluation of land and buildings	-	-	147,967	-	-	147,967
Currency translation losses	-	-	(10,689)	-	-	(10,689)
Fair value gains on financial assets at fair value through other comprehensive income	-	-	1,527,995	-	-	1,527,995
Total other comprehensive income	-	-	1,665,273	-	-	1,665,273
Total comprehensive income for the year	-	-	1,665,273	2,519,461	-	4,184,734
Transfer to other reserves	-	-	549,042	(549,042)	-	-
Transactions with owners						
Dividends:						
- Final for 2011	-	-	-	13,860	(283,718)	(269,858)
- Proposed final for 2012	-	-	-	(472,863)	472,863	-
Total transactions with owners	-	-	-	(459,003)	189,145	(269,858)
<i>At end of year</i>	189,145	3,164,455	5,745,519	2,900,342	472,863	12,472,324

Consolidated statement of changes in equity (continued)

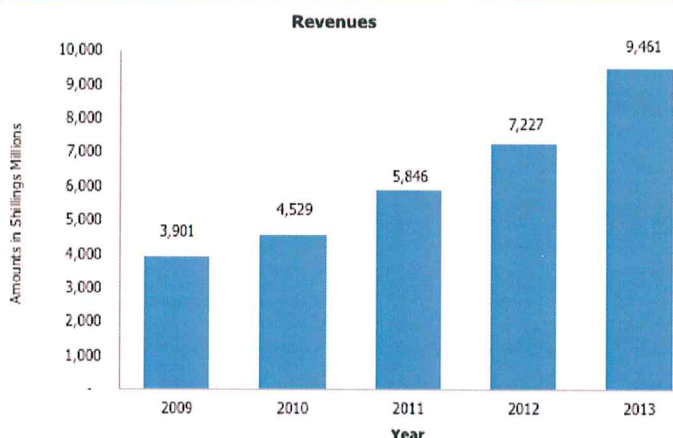
Year ended 31 December 2013	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total equity Shs'000
At start of year	189,145	3,164,455	5,745,519	2,900,342	472,863	12,472,324
Transfer of reserves on adoption of IFRS 9	-	-	568,850	(614,074)	-	(45,224)
Comprehensive income						
Profit for the year	-	-	-	2,653,789	-	2,653,789
Other comprehensive income:						
Gains on revaluation of land and buildings	-	-	26,699	-	-	26,699
Currency translation losses	-	-	(2,954)	-	-	(2,954)
Fair value gains on financial assets at fair value through other comprehensive income	-	-	1,512,800	-	-	1,512,800
Re-measurement of the net defined benefit asset	-	-	14,266	-	-	14,266
Total other comprehensive income	-	-	1,550,811	-	-	1,550,811
Total comprehensive income for the year	-	-	1,550,811	2,653,789	-	4,204,600
Transfer to other reserves	-	-	954,700	(954,700)	-	-
Transactions with owners						
Proceeds from sale of treasury shares	-	-	752,860	-	-	752,860
Dividends:						
- Final for 2012	-	-	-	23,100	(472,863)	(449,763)
- Proposed final for 2013	-	-	-	(472,863)	472,863	-
Total transactions with owners	-	-	752,860	(449,763)	-	303,097
At end of year	189,145	3,164,455	9,572,740	3,535,594	472,863	16,934,797

Consolidated statement of cash flows

	2013 Shs'000	2012 Shs'000
Operating activities		
Cash generated from operations	2,348,579	2,485,976
Foreign currency gains	(7,734)	2,530
Income tax paid	(392,823)	(227,486)
Net cash generated from operating activities	1,948,022	2,261,020
Investing activities		
Sale of treasury shares	752,861	-
Purchase of property and equipment	(309,150)	(224,209)
Purchase of intangible assets	(45,507)	(21,538)
Investment in associate	(288,012)	(20,000)
Purchase of investment property	(1,080,031)	(120,631)
Sale of investment property	-	-
Proceeds from disposal quoted shares at fair value through other comprehensive income	1,727,660	-
Purchase of quoted shares at fair value through profit or loss	(1,490,577)	(59,260)
Proceeds from disposal of quoted ordinary shares at fair value through profit or loss	299,031	110,195
Purchase of unquoted ordinary shares at fair value through profit and loss	(251)	(3,519)
Net investment in unit trusts at fair value through profit or loss	(397,409)	(530,679)
Purchase of corporate bond at fair value through profit or loss	-	(28,253)
Net investment in corporate bond at amortised cost	(83,561)	(225,029)
Net investment in government securities at fair value through profit or loss	101,531	63,017
Net investment in government securities at amortised cost	(1,480,354)	(2,311,327)
Mortgage loans and receivables advanced	(168,012)	(260,996)
Mortgage loans and receivables repayments	169,957	127,871
Policy loans and receivables advanced	(306,912)	(221,471)
Policy loans repayments and receivables	239,588	159,320
Dividend received	546,538	463,268
Rent and interest received	1,061,356	1,521,412
Net cash used in investing activities	(751,254)	(1,584,359)
Cash flows from financing activities		
Dividends paid	(449,763)	(269,858)
Loan repayment	-	(950,047)
Net cash used in financing activities	(449,763)	(1,219,905)
Net increase/ (decrease) in cash and cash equivalents	747,005	(543,244)
At start of year	2,344,917	2,888,161
At end of year	3,091,922	2,344,917

BRITISH-AMERICAN INVESTMENTS COMPANY (KENYA) LIMITED
AUDITED GROUP RESULTS FOR THE 12 MONTHS PERIOD ENDED 31 DECEMBER 2013

The Board of Directors is pleased to announce the audited Group results for the year ended 31 December 2013



CONDENSED STATEMENT OF COMPREHENSIVE INCOME

	31 December 2013 Shs.'000	31 December 2012 Shs.'000
Gross earned premiums and fund management fees	9,460,678	7,226,900
Less: reinsurance premium ceded	(1,095,967)	(893,001)
Net earned premiums	8,364,711	6,333,898
Investment income	6,347,731	5,048,663
Commissions earned	370,521	307,639
Other income	47,096	53,184
Total Revenue	15,130,059	11,743,384
Expenses		
Net insurance claims and loss adjustment expenses	4,826,720	3,669,331
Interest payments increase in unit value	2,204,587	1,608,828
Operating and other expenses	3,210,990	2,286,578
Commissions payable	1,873,286	1,476,086
Total Expenses	12,115,583	9,040,823
Profit before share of the associate	3,014,476	2,702,561
Share of profit of the associate	181,685	146,845
Profit before tax	3,196,161	2,849,406
Income tax expense	(542,372)	(329,945)
Profit for the year	2,653,789	2,519,461
Gains on revaluation of financial assets at fair value through other comprehensive income	1,512,800	1,527,995
All others	38,011	137,278
Comprehensive income for the period	4,204,600	4,184,734
Basic and diluted Earnings per Share (Shs. per share)	1.40	1.40

CONDENSED STATEMENT OF FINANCIAL POSITION

Share capital	189,145	189,145
Share premium	3,164,455	3,164,455
Other reserves	9,572,740	5,745,519
Retained earnings	3,535,594	2,900,342
Proposed dividend	472,863	472,863
Shareholders' funds	16,934,797	12,472,324
Represented by:		
Assets		
Fixed assets	1,297,910	1,062,053
Investment assets	37,578,629	28,517,240
Insurance assets	4,102,743	3,426,607
Cash and cash equivalent	3,208,613	2,391,727
Other assets	714,683	422,538
Total assets	46,902,578	35,820,165
Liabilities		
Insurance liabilities	28,657,776	22,575,866
Other liabilities	1,310,005	771,975
Total liabilities	29,967,781	23,347,841
Net assets	16,934,797	12,472,324

FINANCIAL STATEMENTS COMMENTARY

- Sustained high profitability:
 - Comprehensive income of Shs. 4.2 billion
 - Profit before tax of Shs. 3.2 billion, up from Shs. 2.8 billion, a growth of 12.2%
- Core business revenue of Shs. 9.5 billion from Shs. 7.2 billion, a growth of 30.9%
 - Revenue for the insurance business in Kenya of Shs. 8.6 billion compared to Shs. 6.8 billion, a growth of 26.5%
 - Asset management revenue of Shs. 613.5 million compared to Shs. 377.2 million recorded in 2012, a growth of 62.6%
 - Regional offices contributed Shs. 294.0 million up from 88.5 million, a growth of 232.2%
- Investment income of Shs. 6.3 billion up from Shs. 5.0 billion, a growth of 25.7%
- Group assets are at Shs. 46.9 billion compared to Shs. 35.8 billion in 2012, a growth of 32.9%
- Assets under management (AUM) for the asset management business of Shs. 36.3 billion up from Shs. 28.1 billion in 2012, a growth of 29.2%

- The Group adopted IFRS 9 from 1 January 2013; no material changes have arisen as a result of the adoption
- The Group continues to implement its growth and diversification strategy of increased local and regional presence, new innovative product offering, technological transformation and capacity enhancement. These initiatives entail additional spend, explaining the operating expenses growth and include:
 - Successfully opened operations in Rwanda increasing our regional presence to four (4) countries
 - Entered into a Share Purchase Agreement to acquire Real Insurance which will increase our regional presence to seven (7) countries
 - Opened ten (10) new branches locally aligned to the devolved government
 - Acquired 25% stake in Acorn Group, a renowned property development and project management firm, in order efficiently implement our property business strategy
 - Launched a number of new products including a micro insurance product "Linda Jamii" that caters for the health needs of the lower income segment; private equity funds; and property funds

DIVIDEND

The Board of Directors recommends a final dividend of Shs. 473 Million (Shs. 0.25per share) to be approved at the Annual General Meeting in May 2014. This dividend is the same as the 2012 dividend, as the company will be applying most of the cash in the implementation of the growth strategy herein explained.

STATEMENT FROM THE DIRECTORS

The above are extracts from the financial statements which were audited by PricewaterhouseCoopers and received an unqualified opinion. The financial statements were approved by the Board of Directors on 6 March 2014 and signed on its behalf by:

Amb. Dr. Francis K. Muthaura
Chairman

Benson I. Wairegi
Group Managing Director

KENYA | UGANDA | SOUTH SUDAN | RWANDA